

M/s Shree Behari Forgings Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd.

Allahabad High Court · Division Bench · 4 August 2025 · 2025:AHC:131348-DB · Writ-C No. 34280 of 2014 · **Petition dismissed following Dev Prayag; additional-security demand not bad.**

HEADNOTE

Allahabad High Court dismissed a writ seeking to quash a distribution licensee's additional-security demand under clause 4.20 of the U.P. Electricity Supply Code, 2005, applying its earlier holding in M/s Dev Prayag Paper Mill that such a demand is not bad.

FACTUAL SUMMARY

The petitioner, an industrial consumer, challenged a 22 May 2014 demand notice issued by Paschimanchal Vidyut Vitran Nigam Ltd. for additional security under paragraph 4.20 of the U.P. Electricity Supply Code, 2005. On 7 July 2014 a Division Bench stayed the demand and tagged the writ with similar petitions. When the matter was heard in 2025, counsel informed the Court that the same additional-security issue had already been decided against consumers in M/s Dev Prayag Paper Mill (Pvt.) Ltd. v. State of U.P.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security

HOLDING

Following M/s Dev Prayag Paper Mill (Pvt.) Ltd. v. State of U.P., a demand of additional security by the distribution licensee under clause 4.20 of the U.P. Electricity Supply Code, 2005 is not bad, and a writ seeking to quash that demand is dismissed. ¶ 1

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. Writ-C No. 30898 of 2016 (21 March 2017)			1	Referred